

Middletown Twp Public Schools 2026 Budget Analysis

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Executive Summary

After state aid and healthcare adjustment, the Middletown School District is currently navigating a budget shortfall of less than \$500k —representing 0.2% of the total budget. Despite the relatively small scale of this deficit, the Board of Education (BOE) has proposed the closure of two elementary schools and one middle school. This response is disproportionate to the financial challenge at hand.

To date, the BOE has not provided a comprehensive multi-year plan demonstrating how these closures will ensure long-term fiscal stability or improve educational outcomes. They have also not provided the itemized costs of school closures including the construction needed to retrofit a middle school for elementary children. A more incremental strategy could be championed by the township, such as shared Class III officer costs, and the district could execute revenue-generating programs like pre-K and enrichment camps—to bridge the gap while preserving community stability.

Data Visualization Application

<https://new-jersey-school-tges-data.streamlit.app/>

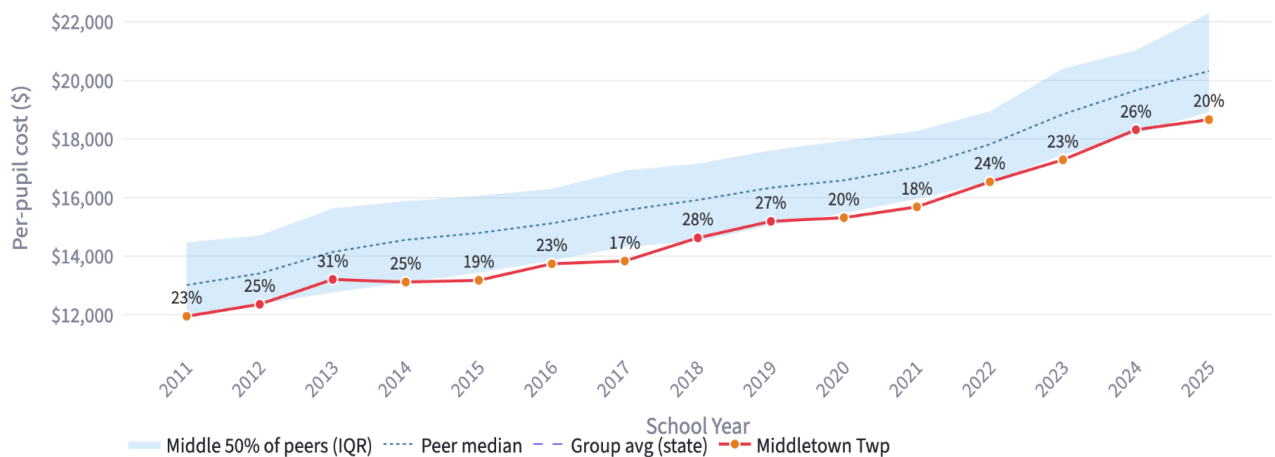
Tentative Budget (3/20/26)

 2026-2027 Tentative Budget Presentation -March 24 2026 for agenda.pdf

Key Findings

Middletown currently ranks in the [top third of New Jersey school districts](#) academically. This excellence is achieved despite Per-Pupil Spending and Total Spending resting in the 20th and 33rd percentiles, respectively.

Budgetary Per-Pupil Cost • Middletown Twp vs G. K-12 / 3501 +



The blue-shaded region in this chart (and subsequent charts) represents the 25th to 75th percentile of all peer school districts as defined by the State of New Jersey.

- **Risk of Continued Reductions:** Because the district is already funded significantly below its peers (\$18,661 per pupil), further spending cuts will likely lead to a decline in academic performance.
- **Economic Impact:** A decline in school quality historically correlates with lower property values, potentially creating a future revenue crisis for the township.
- **Long-term Outcomes:** Most importantly, these cuts threaten the long-term educational and professional prospects of Middletown's students.

Possible Solutions by the Township

While it is understandable that the Township may be hesitant to address financial gaps resulting from Board of Education decisions, this should be viewed as an investment in a stable tax base. The proposed school closures were effectively rejected by voters in last year's tax referendum. We urge the Council to consider the following avenues for support:

- **Class III officer costs:** Fundamentally school security is a law enforcement function and therefore should not be passed to the district as an educational expense. Reclassifying this alone could save the District \$1.5 million. This is a common practice throughout the state. At minimum perhaps a portion of this could be shared.
- **Shared services expansion:** Increasing cooperation on grounds maintenance and snow plowing to reduce overhead.
- **Revenue generation:** Utilizing school facilities for township-run summer camps and enrichment programs.

Possible Solutions by the District

The Board of Education has a responsibility to exhaust all internal fiscal and operational strategies before resorting to the permanent closure of neighborhood schools. By re-evaluating non-instructional spending and leveraging existing assets, the District can close the **\$417k** gap without displacing a single student.

Targeted Internal Cost Reductions:

- **Reduce Central Office Administration:** Prioritizing "boots on the ground" educators over administrative overhead. A modest reduction in non-essential administrative roles or a freeze on central office raises would easily cover the remaining budget gap.
- **Audit Tech Subscriptions:** The District maintains a massive portfolio of software licenses. A line-item audit to eliminate redundant or underutilized platforms could save tens of thousands of dollars annually.
- **Reduce Outsourced Staffing:** By moving away from expensive third-party staffing and focusing on internal staff for essential tasks, the District can reduce line items for outside vendors.
- **Smart Backfilling of Retirements:** Implementing a strategic hiring policy where non-instructional vacancies are evaluated for necessity rather than being filled automatically. This allows the budget to lean out naturally through attrition.

Proactive Revenue Opportunities: Instead of shrinking the District's footprint, the Board should be maximizing the value of its current facilities to generate new income streams:

- **District-Run Pre-K & Before/Aftercare:** There is a high demand for reliable childcare in Middletown. Expanding these programs creates a steady, recurring revenue source that serves local families while utilizing existing space. Neighborhood districts have already implemented these options and are seeing the financial returns.

- **Facility Rentals & Summer Programming:** Actively marketing gymnasiums, theaters, and fields for community and private use during "off-hours." Additionally, running District-led enrichment camps over the summer turns dormant buildings into profit centers.

Per-Pupil Cost

The following charts are intended to give a quick summary of where the money goes in our district but we encourage any user to explore the data directly:

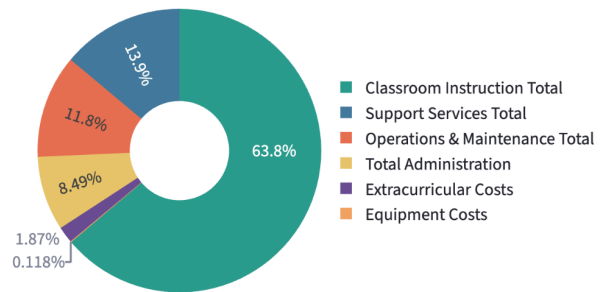
<https://new-jersey-school-tges-data.streamlit.app/>

Budgetary Per-Pupil Cost

Of the \$18,661 dollars budgeted per pupil 63% is actually spent in the classroom:

2025 Spending Breakdown — Middletown Twp

Component	Middletown Twp	Peer Median	% of Total
Budgetary Per-Pupil Cost	\$18,661	\$20,321	100.0%
Classroom Instruction Total	\$11,919	\$11,906	63.9%
Support Services Total	\$2,599	\$3,643	13.9%
Total Administration	\$1,586	\$1,943	8.5%
Operations & Maintenance Total	\$2,201	\$2,402	11.8%
Extracurricular Costs	\$349	\$352	1.9%
Equipment Costs	\$22	\$37	0.1%

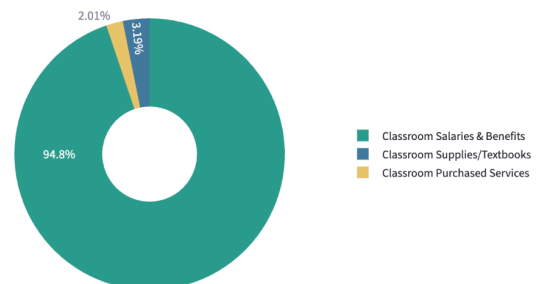


Classroom Instruction

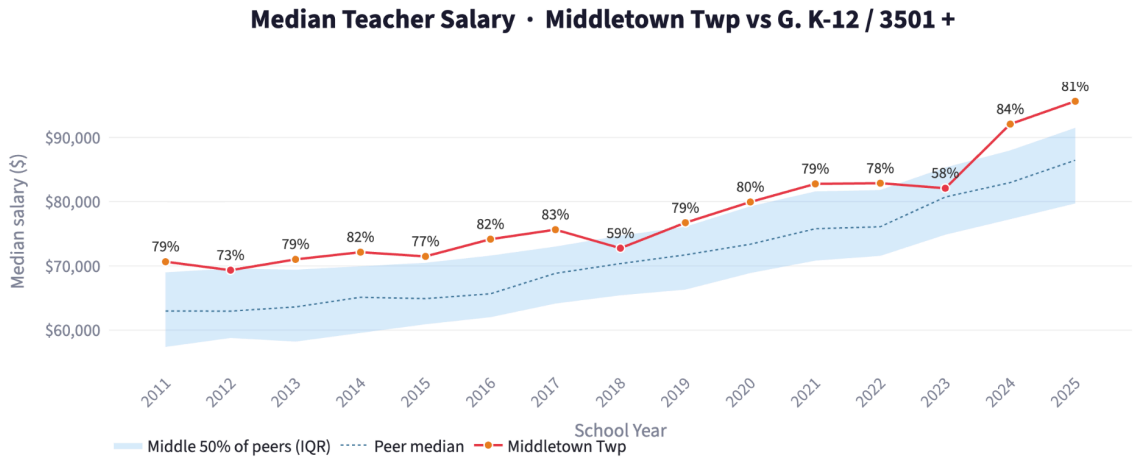
The biggest expense in the Budgetary Per-Pupil Cost is the teachers' salaries:

2025 Spending Breakdown — Middletown Twp

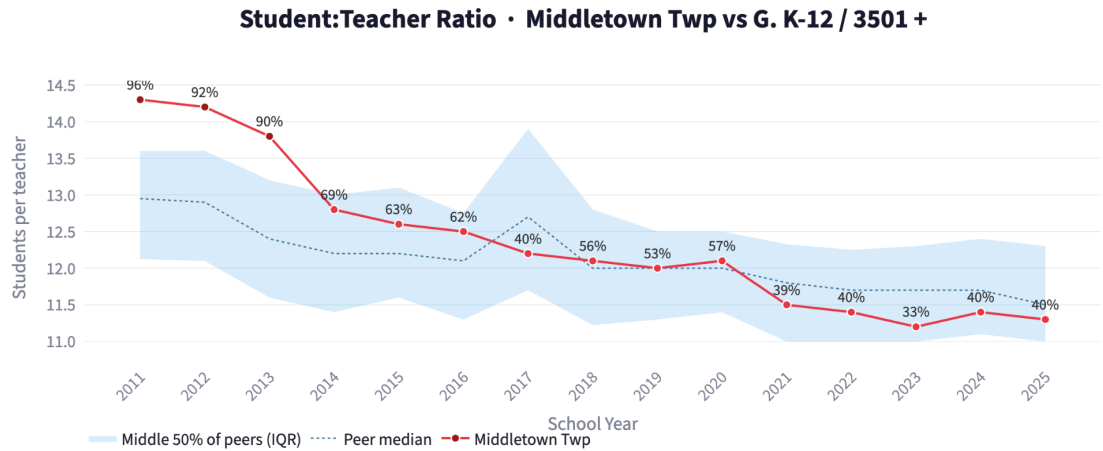
Component	Middletown Twp	Peer Median	% of Total
Classroom Instruction Total	\$11,919	\$11,906	100.0%
Classroom Salaries & Benefits	\$11,300	\$11,022	94.8%
Classroom Supplies/Textbooks	\$380	\$370	3.2%
Classroom Purchased Services	\$239	\$358	2.0%



Middletown pays our teachers more than average (81st percentile):



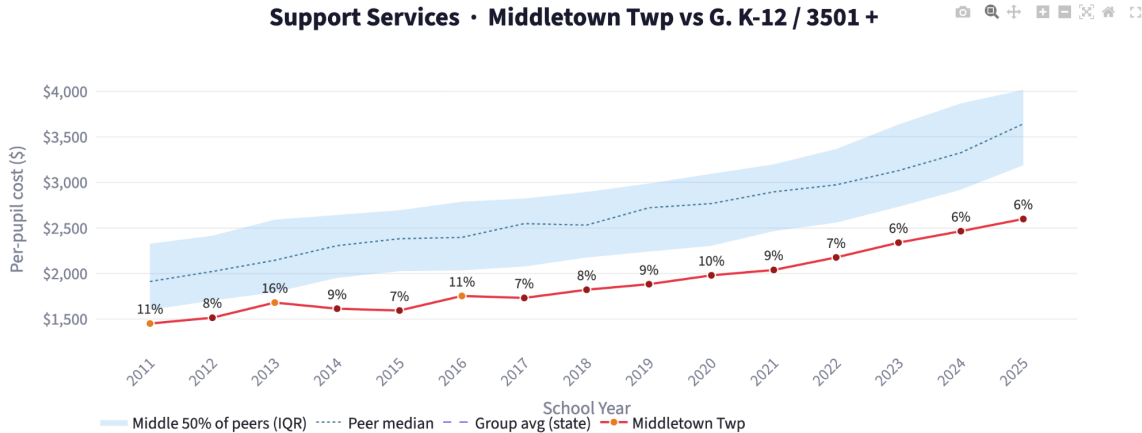
While maintaining a low student-teacher ratio (40th percentile):



This is how we achieve better than average academic outcomes because we are able to hire better than average teachers.

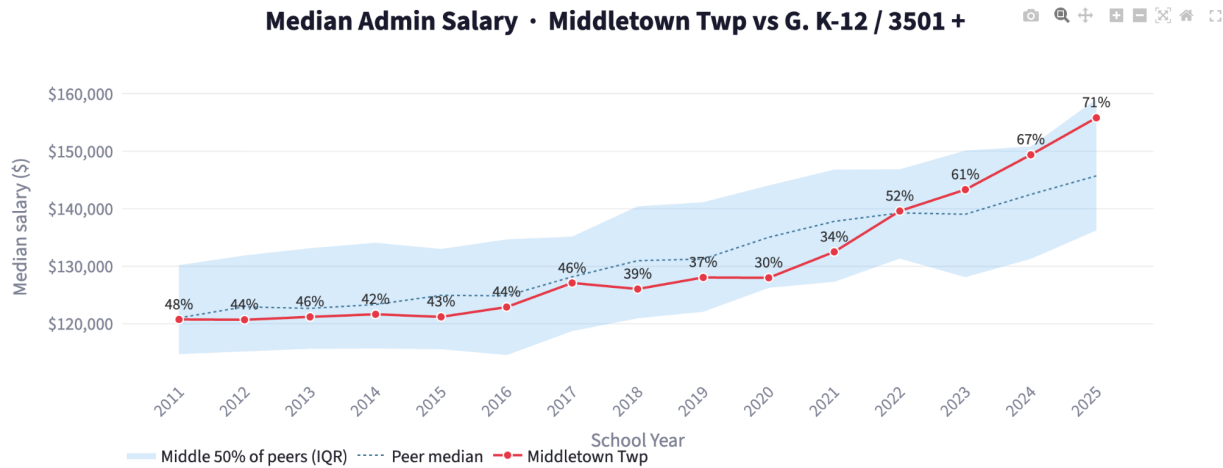
Support Services

Our support services are in the 6th percentile relative to our peers:

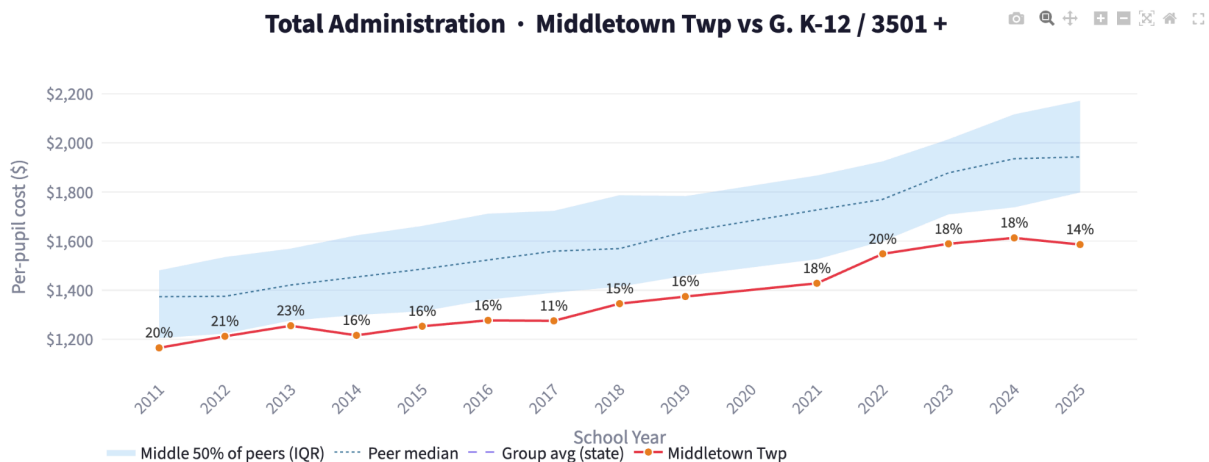


Total Administration

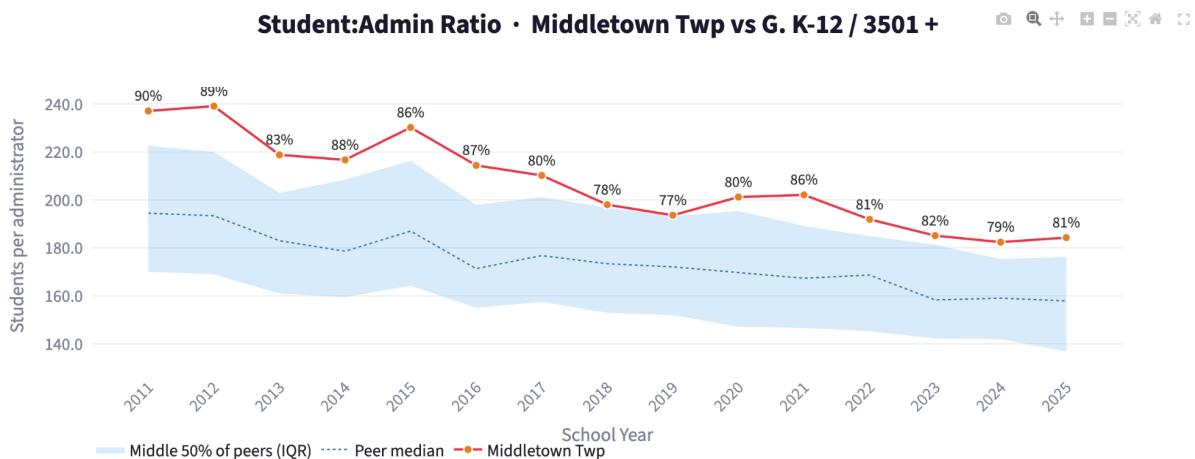
The administrative salaries, while being higher than average...



have a per-pupil cost that is in the 14th percentile...



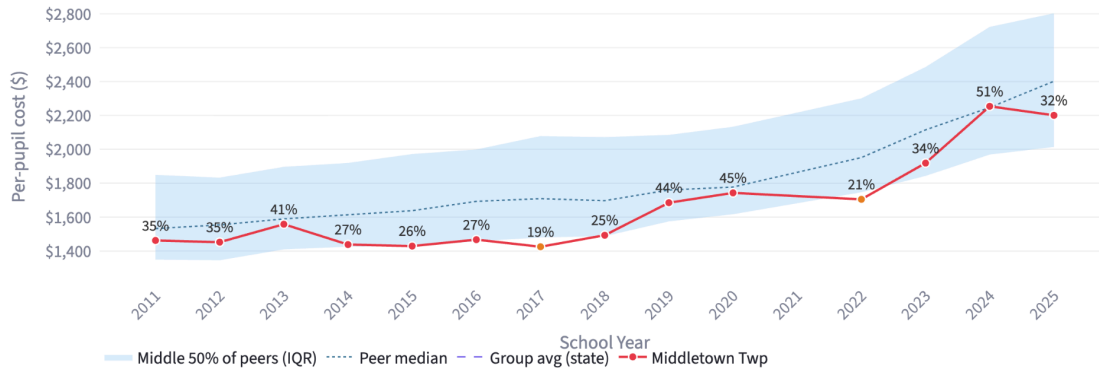
which can be explained by the very high student-to-administrator ratio:



Operations & Maintenance

Given that Middletown is closing schools one would assume they have excess building spending; however, they are in the 32nd percentile.

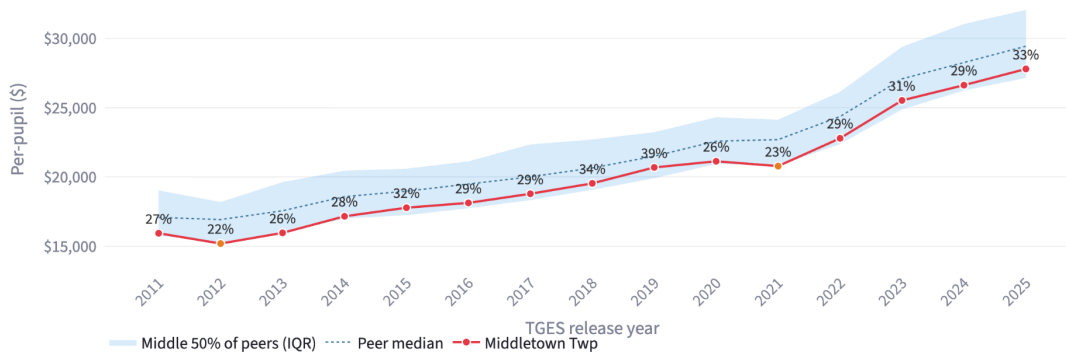
Operations & Maintenance • Middletown Twp vs G. K-12 / 3501 +



Revenue Sources

Looking at Total Spending Per Pupil across all the peer districts in the state, Middletown is in the 33rd percentile:

Total Spending Per Pupil • Middletown Twp vs G. K-12 / 3501 +



Looking at peer districts in Monmouth County, Middletown has the lowest Total Spend per pupil with the highest Local Revenue contribution by far:

2025 Revenue Sources Ranking

★ marks selected districts. Ranked by selected revenue source (lowest → highest).

Rank	District	Enrollment	Total Spending Per Pupil	State Revenue %	Local Revenue %	Federal
1	★ Middletown Twp	8824	\$27,789	27.6%	70.0%	
2	Matawan-Aberdeen Regional	3992	\$28,415	37.0%	58.3%	
3	Long Branch City	5435	\$34,024	62.6%	31.7%	

2026-2027 Proposed Budget

Overview of the deficit

The board of education has stated the budget gap for 2026-2027 is \$3.2M after using the 2% tax cap. Using that number, the budget gap reduces to \$2.3M after the \$890k in state aid. With the healthcare adjustment of \$1.89M, the gap reduces again to \$417k. **\$417k is 0.2% of Middletown's \$200M school budget.**

The Middletown "Priority Gap": Sports Facilities Over Children

The Middletown Board of Education claims that closing schools is a financial necessity to bridge a budget deficit. However, the 2026-2027 tentative budget reveals a different reality: the money exists, but it is being prioritized for sports facilities and non-instructional upgrades rather than the stability of our classrooms.

The Math of the Deficit vs. Discretionary Spending The Board's adjusted budget gap is approximately **\$417,000**—a figure that represents just **0.2%** of the total \$200M school budget. To close this gap, the Board is choosing to displace students despite having authorized **\$1,191,500** in new non-instructional investments, including:

- **\$270,500 on Athletics & Gyms:** \$140,500 for unspecified equipment leases and \$130,000 for bleacher and gym repairs at High School South and Thompson Middle School. Deferring just these two items would close **over 65% of the entire deficit.**
- **\$440,000 on Doors and Vehicles:** \$260,000 for new door banks at High School South and \$180,000 for facilities fleet replacement.
- **\$281,000 on Software and Grounds:** \$200,000 for security software and \$81,000 for new signage, mowers, and salters.

The Hidden Costs of School Closures While the Board focuses on these secondary upgrades, their proposal lacks any transparent accounting for the massive costs associated with restructuring the district. Expert estimates suggest:

- **\$10M+ to retrofit Bayshore Middle School** for elementary use (including age-appropriate plumbing, safety modifications, and moving costs).
- **24 months of instructional disruption** as students attend class during major construction.
- **Unspecified increases in transportation costs** due to the elimination of neighborhood schools.

A History of Financial Mismanagement

This "crisis" follows a pattern of ignoring voter intent and fiscal tools. In 2014-15, the board of ed let \$2.07M in banked capital expire. In 2015-16, the board of ed let \$1.26M of banked capital expire. In 2016-17, the board of ed let \$1.25M in banked capital expire. There are continued

examples of this. Furthermore, since 2011, the Board has allowed over **\$63M in "banked capital"** (unused taxing authority) to expire rather than utilizing even some of those funds to maintain school stability.

The decision to move forward with closures while spending hundreds of thousands on gym aesthetics and grounds equipment shows a clear preference for facilities over the education and well-being of Middletown's children.

Data Sources

Source: <https://www.nj.gov/education/guide/>

The Taxpayers' Guide to Education Spending is a resource produced by the State of New Jersey for the purpose of comparing spending across districts. The data is normalized across all districts into useful metrics (e.g. Budgetary Per-Pupil Cost, median Teacher Salary).

Per their website: *"The Taxpayers' Guide to Education Spending (TGES) is an annual publication that provides comparative financial information on educational spending for districts and charter schools. All data used to calculate the figures reported in the TGES are based on district-reported data. Taxpayers can use information provided in the TGES as a starting point for discussions with their local district or charter schools about needs, priorities and use of resources."*

Source: [Middletown Township Public School District Budget Proposal](#)

Published on March 21, 2026 on boarddocs

Source: 2023-2024 Budget Update #2 - February 21 2023 Facilities and Finance Committee meeting (Middletown board docs) - *slide 9 below*

 Banked tax levy cap	
Middletown's banked tax levy cap history since 2011-2012 (year of implementation):	
Total banked cap generated through 2020-2021	\$8,801,113
Total expired banked cap	\$4,609,285
Total utilized banked cap	\$3,477,439
Cumulative effect of unused banked tax levy cap through 2022-2023 (last 12 budget years), including compounding, is \$63,497,357.	
Banked tax levy cap is generated either by assessing a tax levy less than 2% or by state tax levy cap adjustments (health, enrollment).	